



Morgan Stanley Global Macro Forum

Mid-Year Outlook: Our Highest-Conviction Views

May 18, 2026

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Morgan Stanley

Chetan Ahya

Chief Asia Economist

We Remain Constructive On Asia's Macro Outlook

The strength of the industrial super-cycle to outweigh the energy shock

Two key factors influencing Asia macro outlook:

- The strength of the industrial cycle; and
- Disruptions posed by the energy shock.

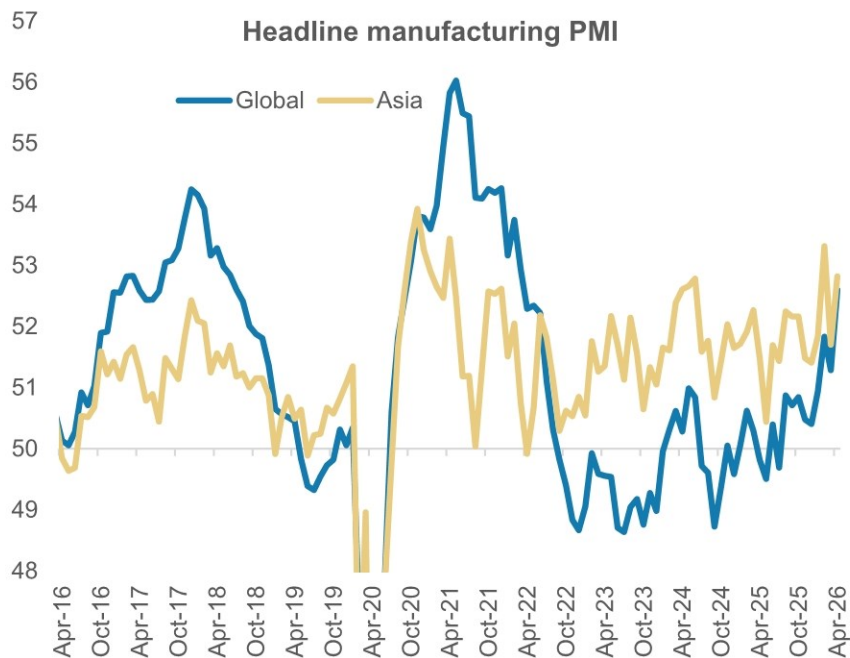
Real GDP (%Y)	2025	2026E	2027E
Global	3.5	3.2	3.4
G10	1.8	1.4	1.7
US	2.1	2.2	2.5
Euro Area	1.5	0.6	1.0
EM	4.9	4.6	4.6
Asia	5.0	4.8	4.7
Asia ex China	5.0	4.7	4.7
China	5.0	4.8	4.7

2026 growth revised up by 40bps to 4.8% YoY

	Annual		
Real GDP (%Y)	2025	2026E	2027E
China	5.0	4.8	4.7
Hong Kong	3.6	4.8	4.5
India	7.5	6.8	7.0
Indonesia	5.1	5.1	5.0
Korea	1.1	2.8	2.2
Malaysia	5.1	4.6	4.7
Philippines	4.5	4.0	5.0
Singapore	5.0	2.9	2.6
Taiwan	8.6	8.9	4.7
Thailand	2.4	1.6	2.3
Australia	2.0	1.9	1.5
Japan	1.2	0.4	1.0
Asia	5.0	4.8	4.7
Asia ex China	5.0	4.7	4.7

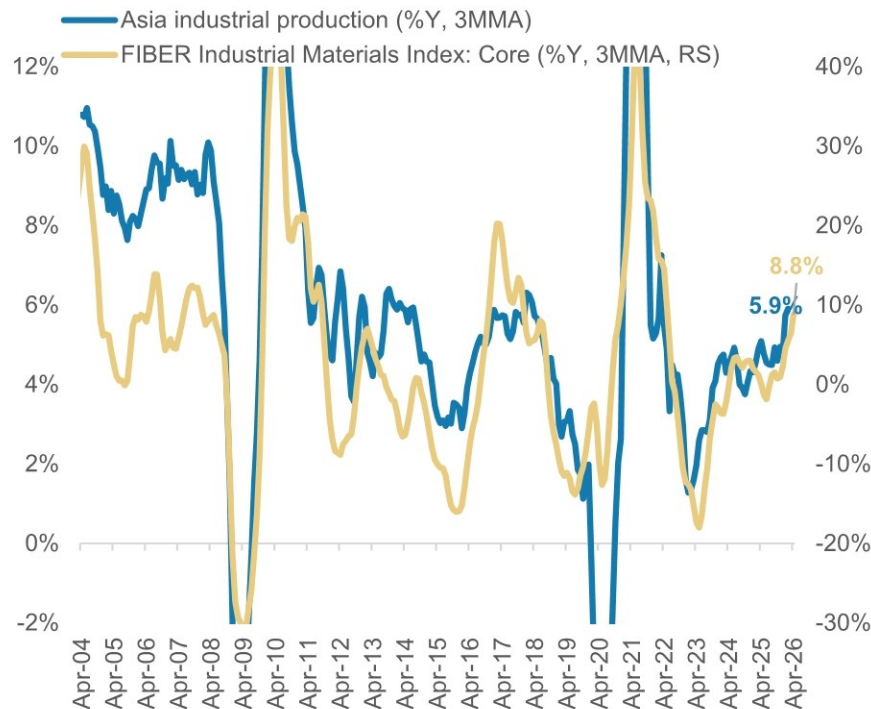
High-Frequency Data Are Affirming that the Industrial Cycle is Pulling Ahead

Asia and global manufacturing PMIs inflected higher again in April



Source: Haver, CEIC, Morgan Stanley Research

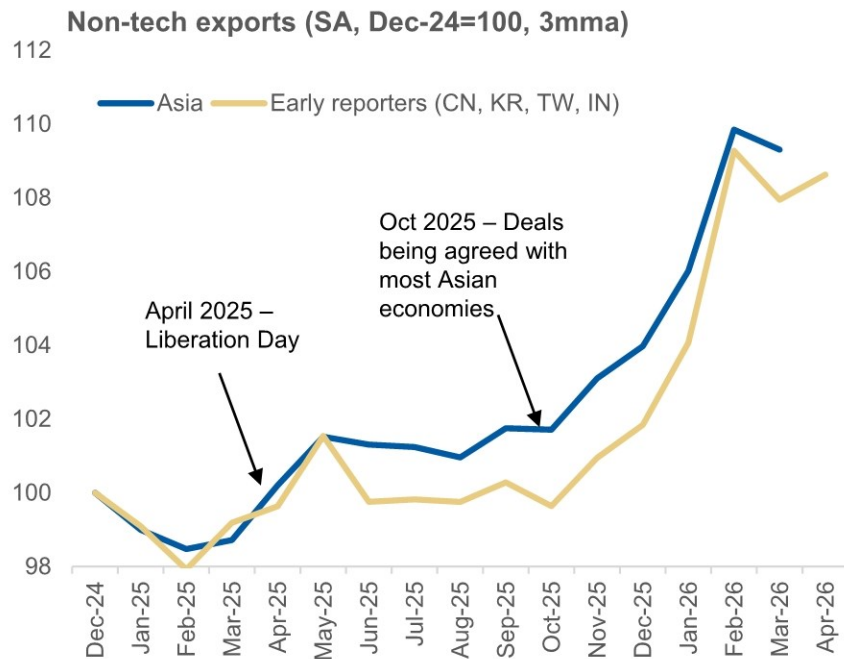
Policymakers have limited the passthrough from international oil price rise to domestic fuel prices to roughly a quarter so far



Source: Haver, CEIC, Morgan Stanley Research

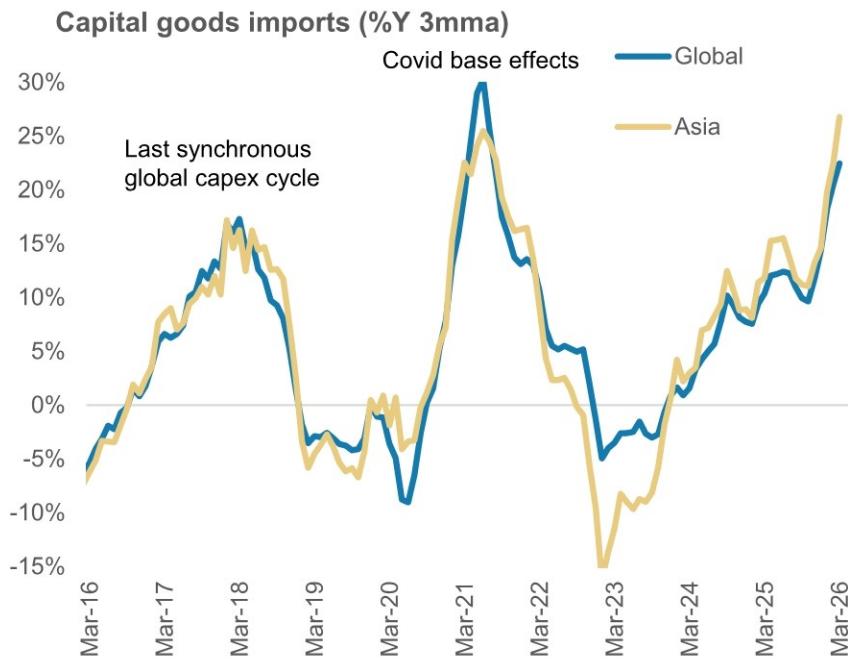
The Recovery Is Broadening Out Toward Non-Tech Exports and Capex

April early reporter non-tech exports is growing at an annualized pace of 19%



Source: Haver, CEIC, Morgan Stanley Research

Capex momentum remains strong

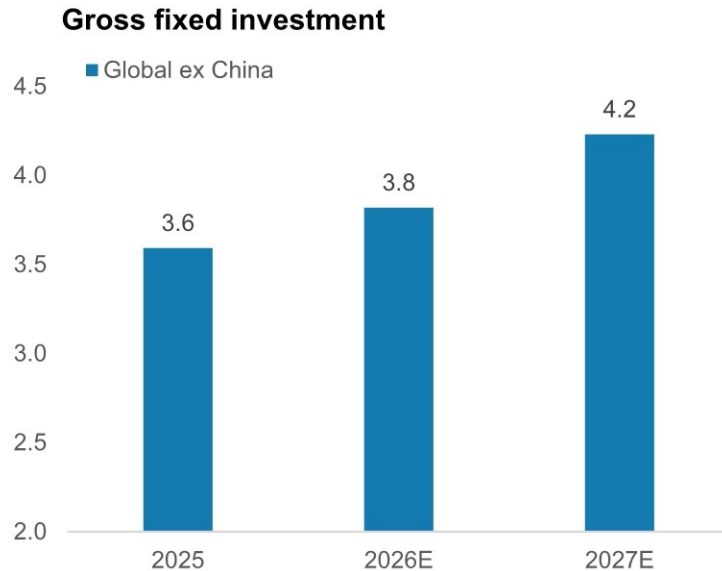


Source: Haver, CEIC, Morgan Stanley Research, Note: For LHS, As China and Korea's April export data is currently available for a limited set of products, we calculate their non-tech exports as the residual from total exports after excluding early-reporting tech items.

Asia Headed Toward a Capex Super-Cycle

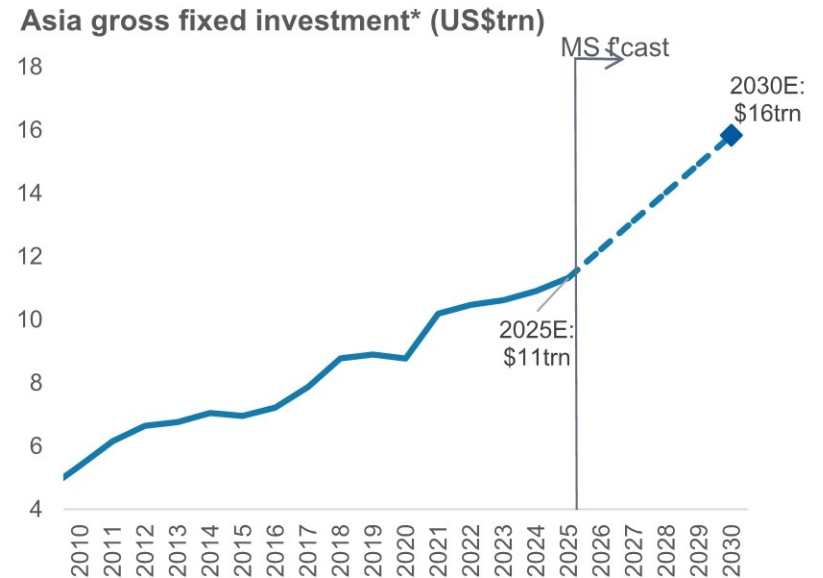
Asia's industrial and capex cycle is backed by multiple new structural demand drivers: 1) AI and AI-related infrastructure spending; 2) energy and energy-transition-related spending; 3) global increase in defense spending; and 4) positive spillover to broader industrial capex.

Global ex-China capex growth will improve from 3.6% YoY in 2025 to 3.8% in 2026 and 4.2% in 2027



Source: Haver, CEIC, Morgan Stanley Research estimates; Note: We exclude China real estate capex given the structural decline in property demand.

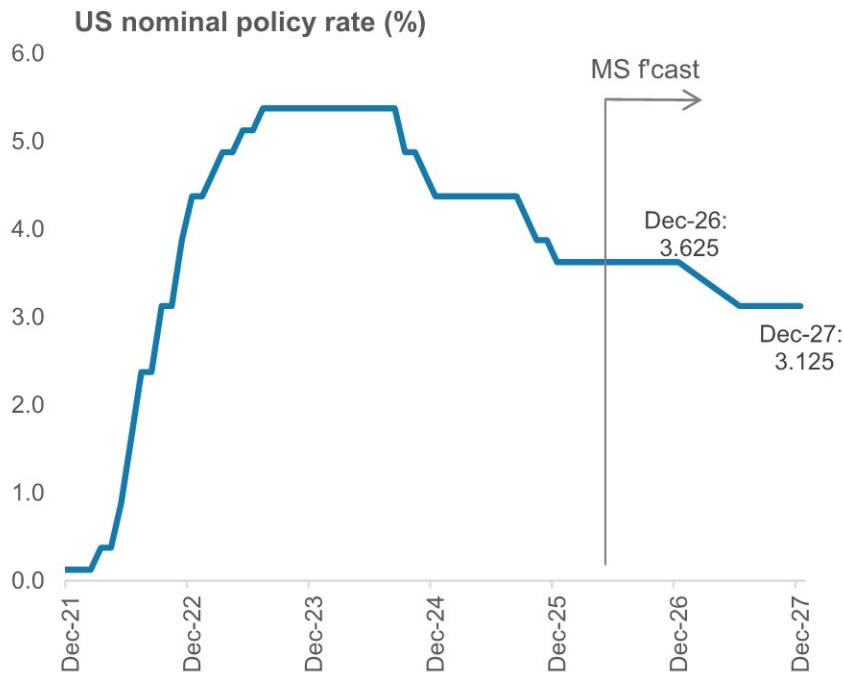
Asia's gross fixed investment to rise to \$16trn by 2030



Source: Haver, CEIC, Morgan Stanley Research; Note: *We exclude China real estate capex given the structural decline in property demand.

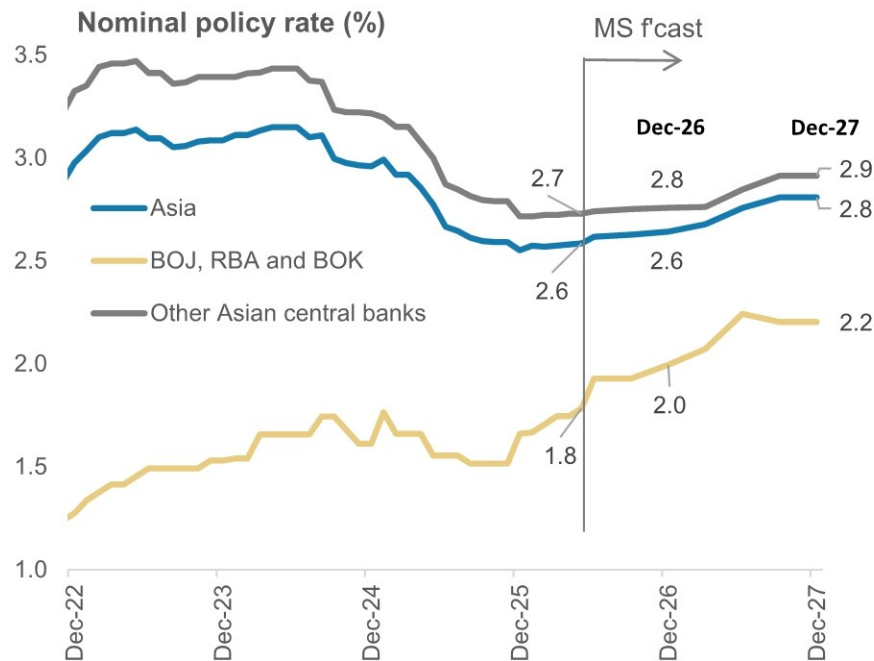
Monetary Policy: Inflation Trajectory Holds the Key for the Fed and Asian Central Banks

We expect the Fed to stay on hold through 2026, before cutting by 50bps in 1H27



Source: Haver, CEIC, Morgan Stanley Research estimates

Overall, we see a gradual and modest rate hike cycle in Asia, with BOJ, RBA and BOK among those with tightening bias



Source: Haver, CEIC, Morgan Stanley Research estimates

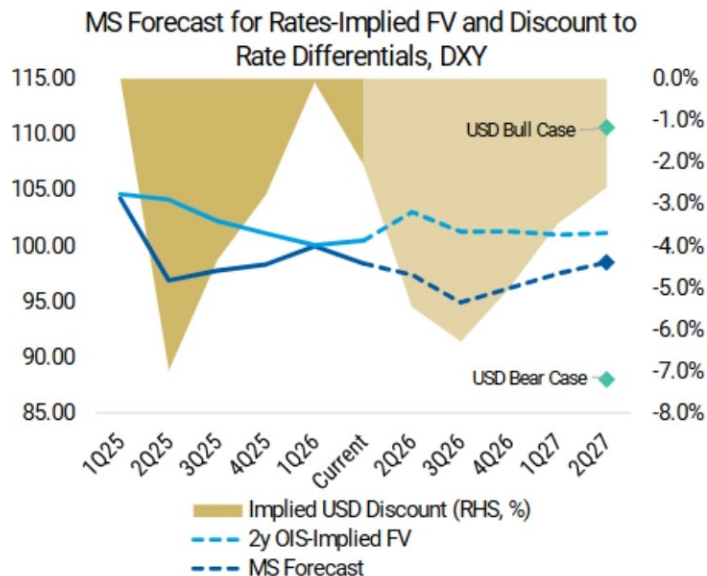
James Lord

Global Head of FX/EM Strategy

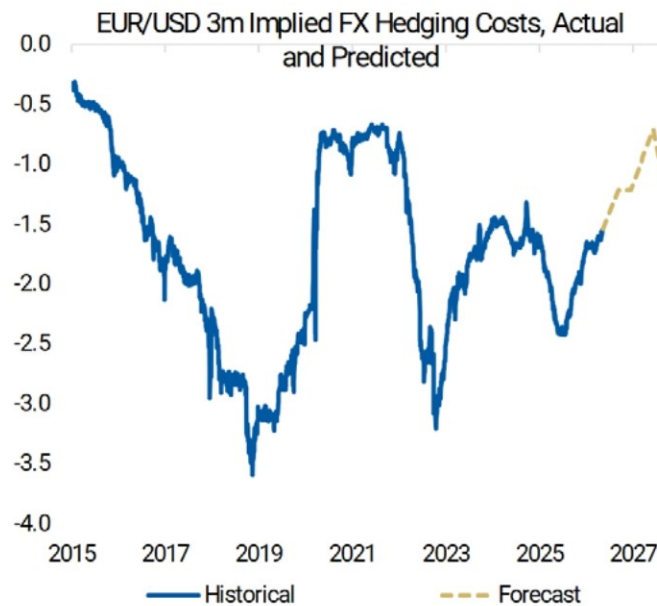
We Expect USD Weakness in 2H26, but a Rebound Thereafter

USD hedging costs should fall as CBs deliver on policy rates. US economic strength keeps USD weakness cyclical

We see DXY at 95 before rebounding



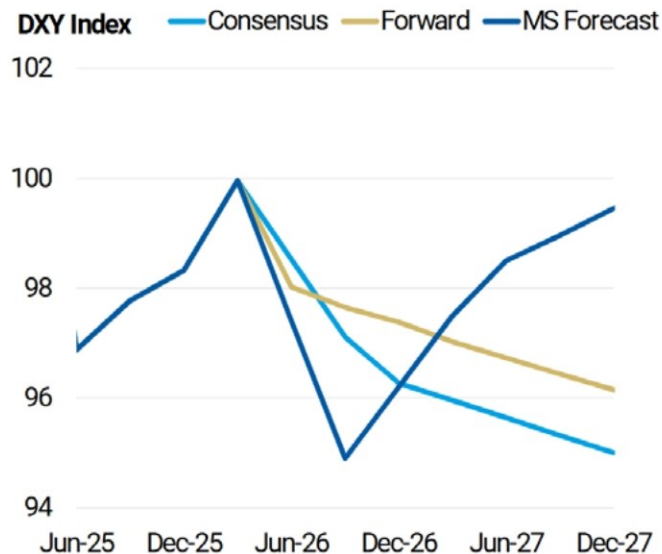
USD asset hedging costs for European investors should cheapen



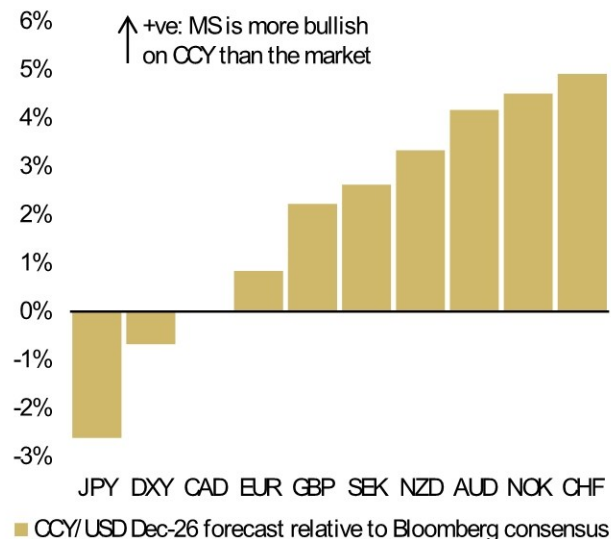
We See More USD Weakness Than the Consensus Near Term

Consensus and forwards are more constructive on USD near term. JPY-funded carry trades have best risk/reward

USD down first, then up



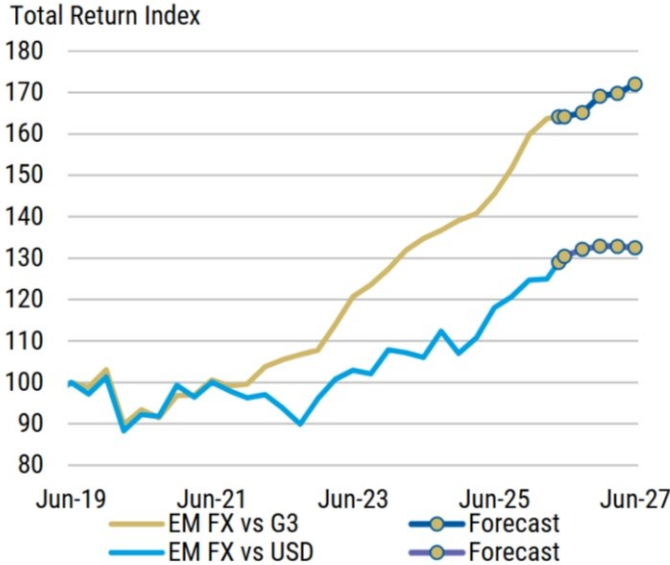
We also think the consensus underestimates CHF strength



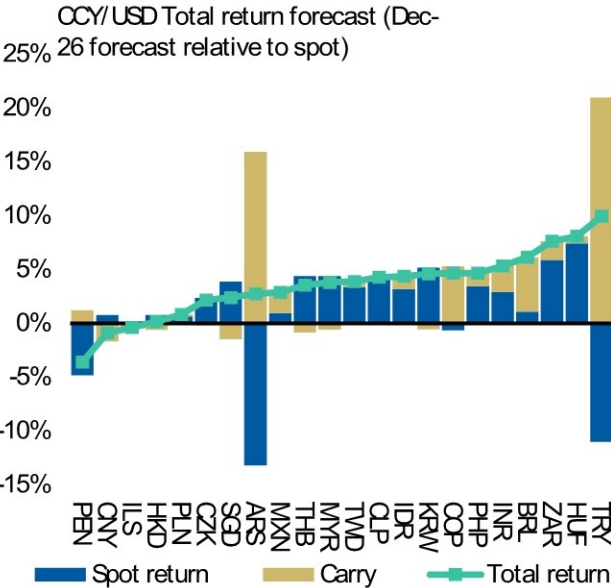
EM vs DM Outperformance to Continue

We see moderate EM gains vs USD to year-end but persistent strength vs G3. We prefer CEEMEA and Latam over AXJ

We expect EM to continue outperforming G3



Solid total returns in parts of EM



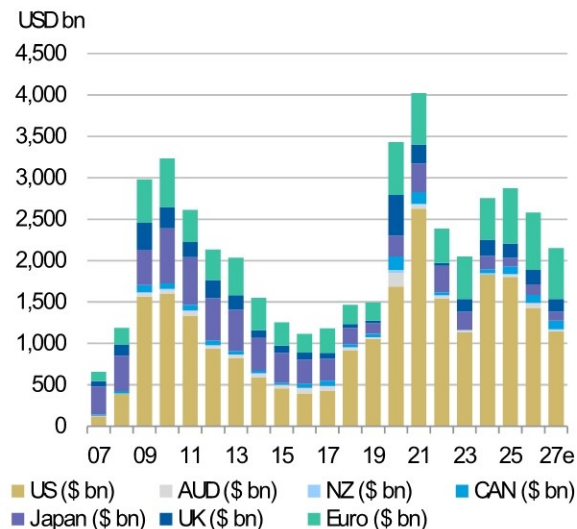
Matthew Hornbach

Global Head of Macro Strategy

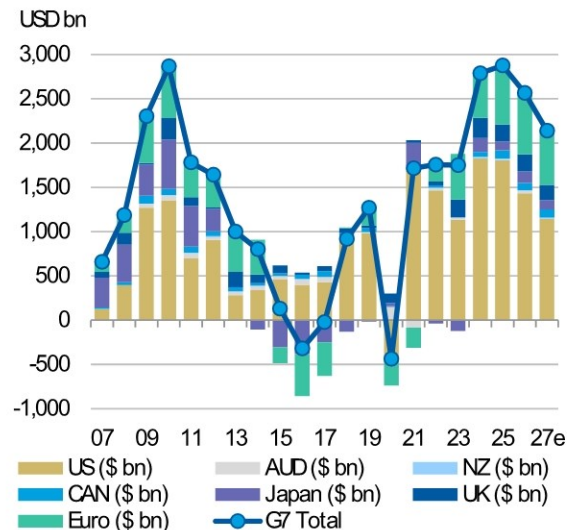
We Expect Less Net Issuance in 2026 and 2027 Than in 2025

Fiscal concerns may play idiosyncratic roles in driving bond yields higher, but we don't see supply playing a systemic role – we see less net supply across the G7

Gross coupon bond issuance net of redemptions, notional in USD, 2007-25 actual, 2026-27 expected



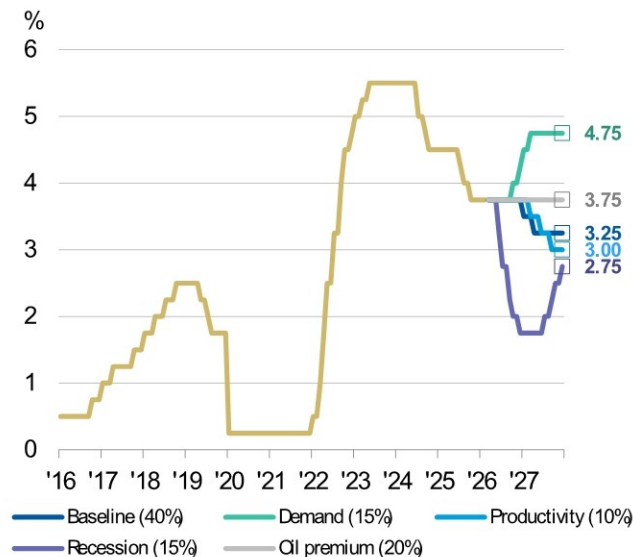
Gross coupon bond issuance net of redemptions and central bank purchases, notional in USD, 2007-25 actual, 2026-27 expected



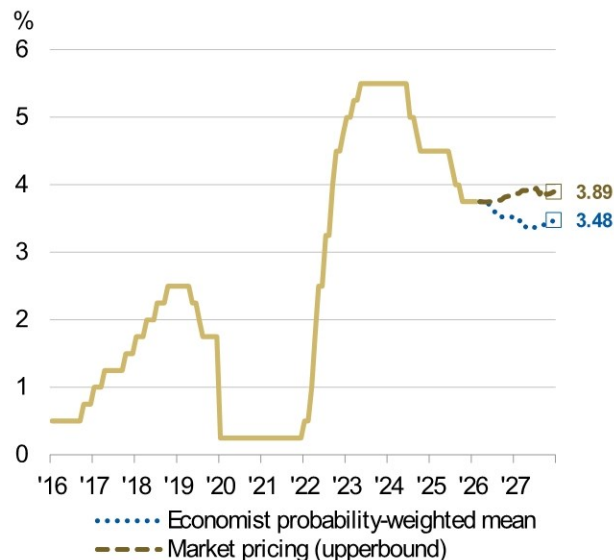
Market-Implied Path Too Hawkish vs. Our Economists' View

Current market pricing implies tightening vs the easing in the probability-weighted path envisioned by our economists

Target fed funds range upper bound and the US Economics baseline and 4 scenarios



Target fed funds range upper bound and probability-weighted mean vs. market pricing

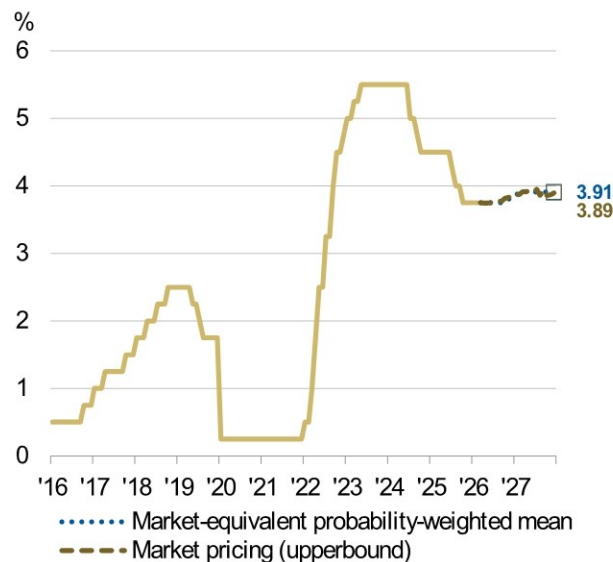


Source: Morgan Stanley Research estimates, Federal Reserve, Bloomberg

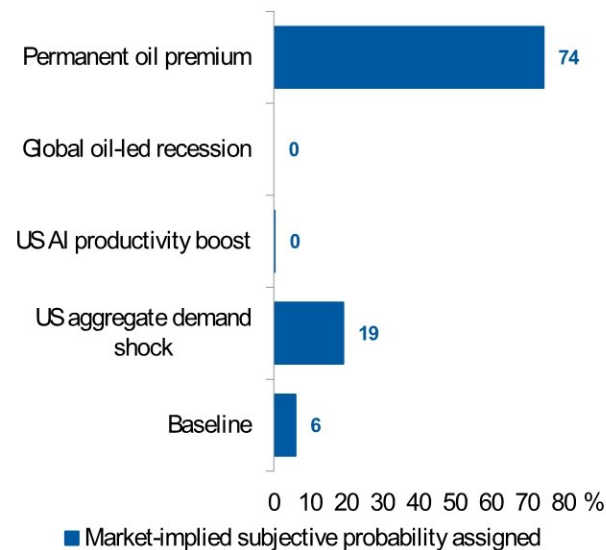
Market-Implied Trough Rate Places No Probability on Recession

Current market prices suggest a zero risk of a recession, 20% chance of an aggregate demand shock, and 75% chance of a permanent oil premium

Target fed funds upper bound and market-price-aligned probability-weighted mean



Subjective probabilities that produce a market-implied path aligned to current price



Michael Wilson

Chief US Equity Strategist and Chief Investment Officer

Vishwas Patkar

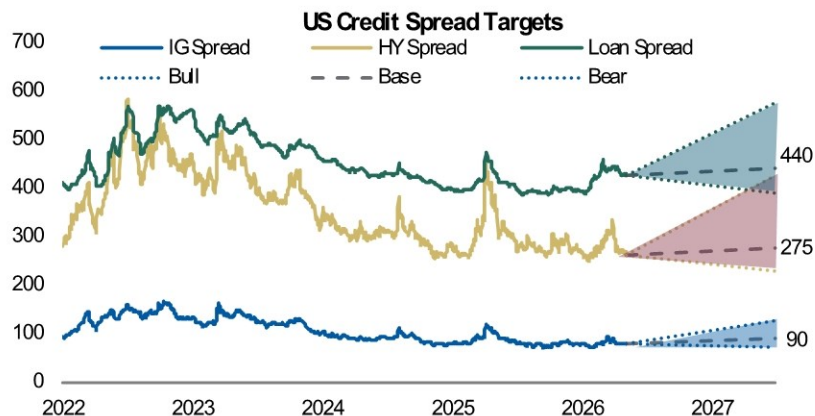
Head of US Credit Strategy

US Credit Outlook: Writing Bigger Checks

- Playbook comparable to 1997/98 or 2005/06; healthy economy, accelerating capex and M&A, rising issuance. Credit lagging equities.
- We see IG spreads modestly wider with supply hitting a new record. HY outperforms on robust earnings.
- Total returns healthy at 6%+ across segments.

**We forecast modest widening across US IG and Loans;
HY in the sweet spot**

**1997/98 and 2005/06 are interesting comparisons for the
current set-up**

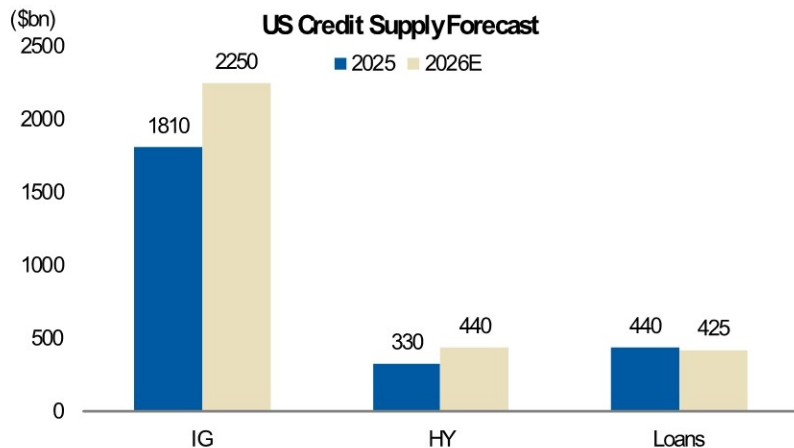


Year	Capex YoY	Capex Ex-En. YoY	M&A YoY	M&A(% of GDP)	S&P 500 YoY	US IG YoY (bp)	IG Non-Fin Leverage Y/Y (x)	US 10yr (YE)	Core PCE (YE)	US U-3 Unemploy.
1997	7%	5%	40%	24%	31%	9	+0.15	5.7	1.9	4.9
1998	9%	10%	38%	32%	27%	51	+0.33	4.6	1.5	4.5
2005	14%	9%	31%	29%	3%	9	-0.13	4.1	2.3	5.1
2006	20%	17%	76%	48%	14%	-2	+0.05	4.7	2.3	4.5
Avg.	12%	10%	46%	34%	19%	17	+0.10	4.8	2.0	4.8
2026e	21%	23%	20%	21%	17%	13	-	4.2	2.8	4.3
Diff	9%	13%	-26%	-12%	-2%	-4	-	-0.6	0.8	-0.5

Supply Stays Heavy to Fund Capex/M&A; Defaults to Rise in Loans/PC

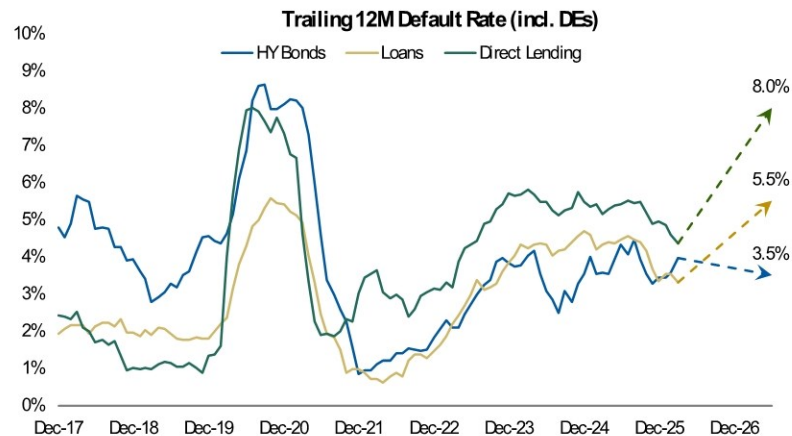
- We forecast a record year in IG supply at \$2.25tn, +25% y/y.
- We mark up our HY issuance to \$440bn (+34% y/y) due to higher AI financing needs.
- Expect a Software-led increase in Loan and PC default rates to 5.5% and 8%. HY defaults moderate to 3.5%.

**IG and HY to see a notable increase in supply Y/Y,
while Loans see a slight decline**



Source: Dealogic, Pitchbook | LCD, Morgan Stanley Research

**HY defaults tick down to 3.5%, and Loans and PC up from
current levels to 5.5% and 8% by 2H27, respectively**

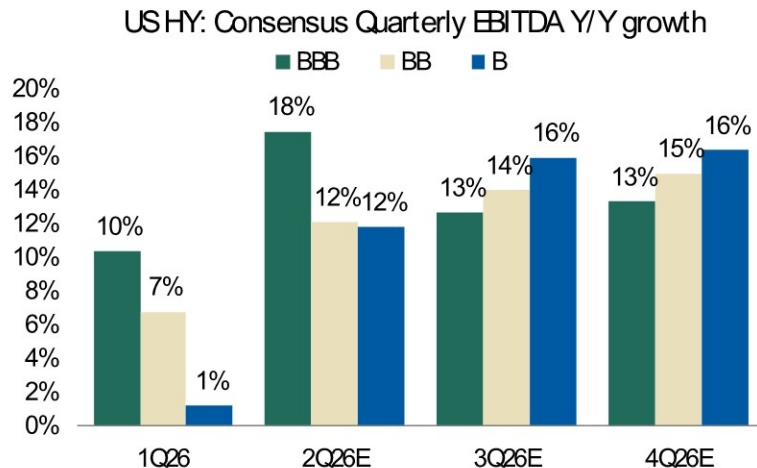


Source: Moody's, PitchBook | LCD, Morgan Stanley Research

Positioning Themes

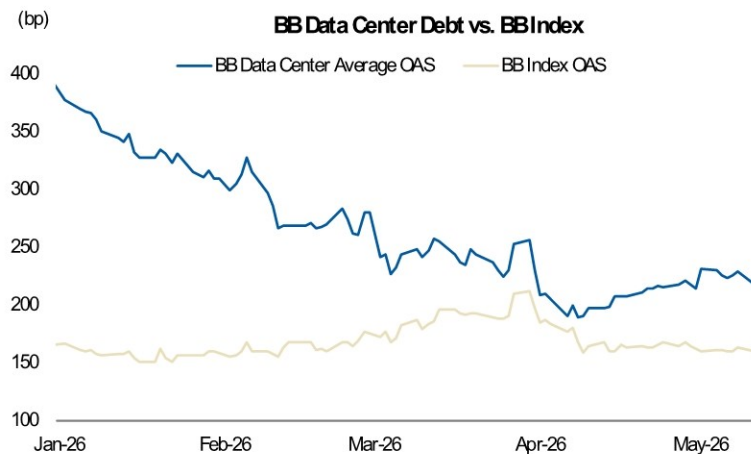
- In IG: OW Banks, Utilities, Yankee Corps, and UW Technology. We like BBBs over high quality.
- In leveraged credit: Like BB Loans for carry. In HY prefer single-Bs over BBs.
- OW HY data center debt, which includes project finance-style deals with structural protections for creditors; guarantees/backstops from HQ hyperscalers.

Expect B-rated issuers to deliver stronger EBITDA growth through the second half of 2026



Source: FactSet, Morgan Stanley Research

The HY data-center has grown sharply to over \$35bn, we like the risk-reward vs, overall market



Source: Bloomberg, Morgan Stanley Research

Serena Tang

Global Head of Cross-Asset Strategy

Risk On: Overweight Equities over Fixed Income

We upgrade global equities to OW. Corporate credit remains our least-favoured asset class

Asset	Allocation	OW/UW	vs Bnch	vs Last
EQUITIES		+5%		+5%
US		+3%		+1%
Europe		+1%		+1%
Japan		+1%		+1%
EM		+0%		+2%
CORE FIXED INC.		-3%		+0%
Govt Bonds		+3%		-1%
USTs		+2%		-2%
EGBs		+1%		+1%
Agency MBS		+0%		+0%
IG Corporate		-6%		+1%
US IG Corp		-5%		+0%
EUR IG Corp		-1%		+1%
OTHER FIXED INC.		-2%		+3%
US HY Corp		-1%		+1%
EM \$ Sov		-2%		+0%
EM Local		+0%		+2%
US Lev Loans		-1%		+0%
CLO AAA		+2%		+0%
COMMODITIES		+0%		+0%
Brent		+0%		+0%
Gold		+0%		+0%
Copper		+0%		+0%
CASH		+0%		-8%

- **Equities to OW:** Upgrade DM equities to overweight, driven by strong AI-led earnings. Prefer the US given favorable bull-bear skew and resilience amid geopolitical risks.
- **Rates neutral positioning:** Maintain overall OW in government bonds, shifting from USTs (to EW) into EGBs on better relative value; focus on curve dynamics over outright duration.
- **Reiterate large corporate credit US:** Stay underweight global credit, especially US IG where AI-driven issuance pressures spreads; selectively favor EUR IG on stronger technicals and positive excess returns.

Source: Morgan Stanley Research; Note: Overweights and underweights are versus our cross-asset benchmark; see Morgan Stanley Cross-Asset Benchmark for the full breakdown. 'vs Last' is versus last published March 27, 2026.

Morgan Stanley Research 2Q 2027 Targets

Equities and government bonds have good risk-reward, while US IG corporate credit is projected to see negative excess returns

	As of May 15, 2026	Q2 2027 Forecast			Q2 2027 Return Forecast			Volatility	Base Case Return/Risk
		Bear	Base	Bull	Bear	Base	Bull		
Equities									
S&P 500	7,409	5,900	8,300	9,400	-19.3%	13.1%	28.0%	18%	0.71
MSCI Europe	2,413	1,820	2,700	3,020	-21.6%	14.8%	28.1%	15%	1.00
Topix	3,864	2,600	4,300	4,900	-30.7%	13.3%	28.8%	19%	0.72
MSCI EM	1,668	1,100	1,800	2,100	-32.1%	9.9%	27.9%	16%	0.61
FX									
JPY*	159	163	156	145	-6.0%	-1.3%	6.7%	9%	-0.14
EUR	1.16	1.00	1.16	1.30	-15.3%	-1.5%	10.5%	7%	-0.21
GBP	1.33	1.20	1.34	1.45	-9.5%	1.0%	9.2%	9%	0.11
AUD	0.72	0.68	0.73	0.76	-4.0%	3.0%	7.2%	10%	0.31
INR*	96.0	92.0	95.0	100.0	7.8%	4.0%	-0.8%	5%	0.85
ZAR*	16.7	15.0	16.3	18.7	14.6%	5.6%	-7.5%	15%	0.37
BRL*	5.06	4.40	4.90	5.40	23.6%	11.9%	2.4%	15%	0.79
MXN*	17.3	16.5	17.2	19.5	8.4%	4.1%	-7.7%	13%	0.33
Rates (% percent)									
UST 10yr	4.59	5.10	4.20	3.55	0.9%	8.1%	13.6%	7%	1.21
DBR 10yr	3.17	3.05	2.45	2.40	4.6%	9.5%	10.0%	6%	1.67
UKT 10yr	5.17	4.65	4.40	4.20	9.5%	11.6%	13.3%	7%	1.75
JGB 10yr	2.71	3.10	2.25	1.40	0.4%	7.3%	14.6%	3%	2.92
Credit (bps)									
US IG	73	125	90	70	-2.0%	-0.4%	1.0%	3%	-0.12
US HY	267	425	275	230	-3.4%	1.8%	3.7%	5%	0.33
EUR IG	78	150	80	60	-2.4%	0.7%	1.6%	2%	0.40
EUR HY	257	500	300	225	-5.9%	0.4%	3.0%	5%	0.09
EM \$ Sov	237	400	260	210	-8.1%	0.9%	4.1%	7%	0.13
Sec. Products (bps)									
US Agency MBS	26	40	20	15	-0.6%	0.6%	0.9%	2%	0.33
US CMBS AAA	71	110	75	60	-3.2%	0.3%	1.8%	2%	0.20
US CMBS BBB-	465	750	470	390	-23.6%	4.2%	12.1%	3%	1.21
Commodities									
Brent	109	65	80	180	-21.3%	-3.1%	118.0%	39%	-0.08
Copper	13,503	10,670	13,000	15,609	-21.4%	-4.2%	15.0%	21%	-0.20
Gold	4,528	4,250	5,000	6,000	-10.9%	4.8%	25.8%	16%	0.31

Source: Bloomberg, MSCI, Morgan Stanley Research forecasts; Note: Returns are total returns, except for credit, where we forecast excess returns versus government bonds. Commodity returns are calculated relative to futures to account for carry. Brent spot is shown as front-month contract, while returns are calculated on the Jun-27 contract. Volatility is 10y realized vol. All currency returns are shown as XXXUSD return. *Currency forecasts shown for USDXXX.

Key Takeaways

- **Strong macro and micro fundamentals—reinforced by a powerful AI-driven capex cycle—support risk assets** despite energy-led volatility widening return dispersion. With the growing role of credit markets in funding AI capex a headwind for spreads, the balance of risks continues to favor DM equities.
- **Economics** – We are constructive on growth, but with increased caution amid the energy supply shock. Global growth is supported by US momentum in AI-driven capex and high-end consumer spending, which over time should allow for a broadening in macro drivers. China is more insulated than Europe, although in each case the energy shock will damp but not derail the expansion.
- **Global equities – DM to outperform:** DM equity expected returns in the low-teens are compelling. While the upside is similar across DM, a favorable bull-bear skew and strong earnings from positive operating leverage tilt us toward the US.
- **G10 rates – curve performance is key:** In the US, expect 2s10s to flatten to 40bp in 2Q26, then steepen to 70bp by end-2027, about 15bp steeper than forwards. The front-end drives the curve steepening, while term premium, supply, and oil uncertainty restrain the long end and constrain a bullish duration view. JGBs offer the most risk-adjusted value versus forwards.
- **G10 FX – the macro backdrop supports a softer USD:** Modest USD weakness continues through 2H26 amid easing core inflation, lower rates, and strong global risk appetite, but US growth leadership and European political risks should support USD recovery into 2027. Risk-sensitive currencies outperform during USD weakness.
- **Corporate credit – AI financing is the story:** The credit market is set to lag competing asset classes due to the tension between strong/improving fundamentals and robust demand at elevated yield levels, vs accelerating supply related to AI capex financing and corporate 'animal spirits'. US HY is in the sweet spot.
- **Cross-asset strategy – risk-on:** Uncertainties driven by the conflict in the Middle East drive a wider-than-average range of return outcomes, but the micro and macro fundamentals are largely supportive. OW equities over fixed income, US stocks over RoW.

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(as of April 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1546	42%	467	51%	30%	709	44%
Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Disclosure Section (Cont.)

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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